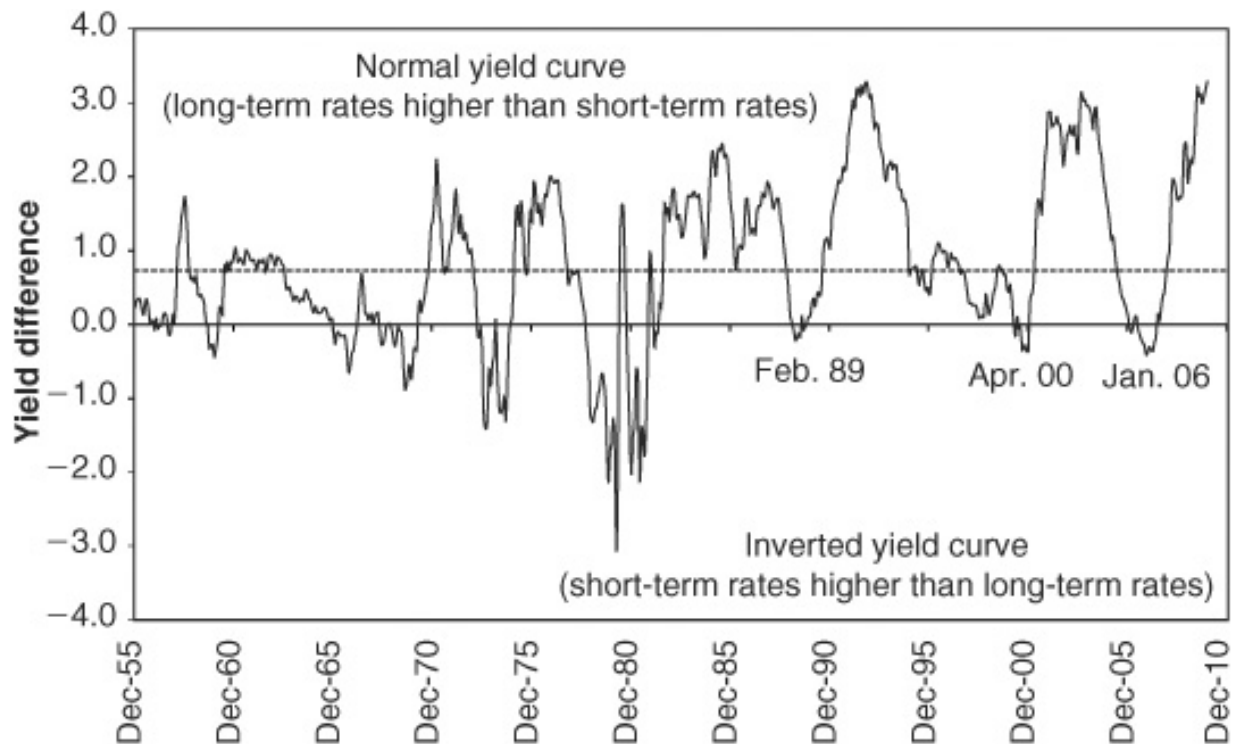




CREDIT RISK

Credit risk is illustrated on the vertical axis in [Figure 8-1](#). Bonds that have more credit risk should pay a higher interest rate than bonds with low credit risk. [Table 8-1](#) shows how three different credit-rating agencies categorize bonds by creditworthiness.

Investment-grade bonds have an S&P and Fitch rating of BBB or higher and a Moody's rating of Baa or higher. Direct and indirect obligations of a government agency, such as Treasury bonds and federal agency bonds, have the least credit risk and yield the least. The middle investment-grade credit level includes investment-grade U.S. corporations and municipalities with sound fundamental characteristics. These bonds receive an investment-grade rating from credit-rating agencies such as Standard & Poor's. They pay more interest than government bonds.

TABLE 8-1
Credit-Rating Agency Categories